

Chapter-4: Product Policy Decisions

What is a Product?

- *Once an international marketer has decided to enter a foreign market, they will need to develop a strategy for the marketing mix or 4Ps.*
- *A product is anything that can be offered in the market to satisfy a need or want.*
- *A product is a set of physical, service, & symbolic attributes which provide satisfaction to user.*
- *It is the bundle of satisfaction that the buyer receives.*
- *It a combination of tangible & intangible attributes provide satisfaction to users.*
- *It is not limited to physical objects.*
- *Services are activities or benefits offered for sale that are intangible & don't result in the ownership of anything.*

Product Design Considerations

- Product design is the process of creating a new product for sale to customers. It is the act of creating a new product that a company intends to sell to its customers.
- *Product design refers to the process of creating a new product or service, while product Dev't refers to the process of bringing that product or service to market.*
- It is a broad concept which encompasses a systematic generation & development of ideas that to the creation of new products.
- Factors considered when making product design decisions.
 1. Preferences: differences in preferences around the world factors such as color and taste.
 2. Cost: cost whether incurred by the manufacturer or the end user-must be considered.
 3. Laws & Regulations: Compliance with laws & regulations in different countries has a direct impact on product design decisions.
 4. Compatibility: product compatibility with the environment in which it is used.

International Product Life Cycle (IPLC)

- *It describes the various stages of a product across national boundaries.*
- *There are five distinct stages in IPLC.*
 - 1. Local innovation:** *the product is created and tested in the domestic market. Once it has been successful, it is introduced to international markets.*
 - 2. Overseas innovation:** *the product is marketed to countries with similar cultural and economic conditions.*
 - 3. Maturity:** *the product becomes widely accepted. companies choose to focus on enhancing the product's features or exploring new marketing opportunities.*
 - 4. Worldwide imitation:** *the product reaches saturation and other companies in different countries enter the market with similar products. competition becomes more intense and profit margins begin to decline.*
 - 5. Reversal:** *the product starts to decline and loses its competitiveness in the global marketplace. Companies may choose to phase out the product.*

Product standardization Vs Adaptation (modification)

- *Product standardization means that a product originally designed for a local market is exported to other countries with no change, except translation of words.*
- *Involves offering the same product or service in all markets, with no customization to meet local market needs.*
- *It is a process of marketing a product without making any changes to it.*
- *It refers to the process of maintaining uniformity of products & services sold in different markets .*
- *Setting identical characteristics for a particular good or a service.*

- **Product adaptation:** It refers to the process of modifying the existing products in order to reach to each market.
- It involves modifying products or services to meet the unique needs, tastes, & preferences of local markets.
- **The more culture bound the product is, the more adaptation is necessary.**
- **Mandatory Product Modification:** *It refers to changes that a company is required by law or regulation to make in order to meet safety, health, or environmental standards in a particular market.*
- *The mandatory factors affecting product modifications: government's mandatory standards (i.e., country's regulations), electrical current standards, measurement standards, & product standards and systems.*
- **Optional Product Modification:** *Involves modifying a product or service to improve its appeal or competitiveness in the market.*
- *It is based on consumer feedback or changing market trends.*

The factors that necessitate product adaptation are:

- *Physical distribution*
- *Local use conditions, including climatic conditions*
- *Space constraint*

Product Positioning

- *Positioning is the process of creating a distinct image or perception of a product in the minds of consumers.*
- *It is a communications strategy based on the notion of mental "space"*
- *It refers to the act of locating a brand in customers' minds.*
- *It helps to create first impression of brands in the minds of target audience.*
 - Goal: *to differentiate the product from its competitors.*

Strategies for positioning products

- Attribute or Benefit: *aims to highlight a particular product benefit, feature that sets it apart from competitors.*
- Quality/Price: *focuses on positioning the product in terms of its level of quality and price compared to competitors.*
- Use/User: *emphasizes how the product is used or who uses it.*
- High-Tech: *this strategy is suited for products that have a high-tech component.*
- High-Touch: *positions products based on personal service & attention to detail.*

Global Branding Decisions

- *Branding is the process by which companies distinguish their product offerings from competition.*
- *Branding involves decisions that establish an identity for a product with the goal of distinguishing it from competitors' offerings.*
- *Branding refers to the process of creating a unique identity for a product or service that sets it apart from competitors.*
- **A global brand is the brand name of a product that has worldwide recognition & acceptance. Most-recognized brands in the world include Coca-Cola, Microsoft, Google, & Toyota.**
- **A Brand** is a name, sign, symbol, or design, or a combination of them, intended to identify the goods or services of one seller & to differentiate them from competitors.
- A **brand name** is the part of brand consisting of words, letters, and/or numbers that can be vocalized.
- A trademark is a brand that is given legal protection.

The basic **purposes** of branding are to:

1. Create identification and brand awareness
2. Guarantee a certain level of quality, quality, and satisfaction
3. Help with promotion

Brand Characteristics

- A brand should be **short, distinctive, easy to pronounce, and able to suggest product benefits without negative connotations.**
- The brand name should **translate easily** into foreign languages.
- An international brand name should reflect the desired product image.
- Consumer perception should be taken into account.
- For instance, worldwide consumers usually perceive **French** perfumes to be superior.
- Good watches are perceived to be made in **Switzerland**, machinery and beer in **Germany**.

Brand Strategy

- Five main brand strategy options available to companies:
 1. **Line extension:** *It refers to usage of existed brand for new forms, sizes, colors, flavors of already existed product category. It occur when a company introduces additional items in the same product category under the same brand name.*
 2. **Brand Extension:** *the use of an established name in new product category. EX. when Samsung entered the Smartphone market.*
 3. **Multi brands:** *introduce additional brands in the same product category.*
 4. **New brand:** *When a company launches products in a new category. Developing a new brand which doesn't exist before.*
 5. **Co-brands (dual branding):** *two or more well-known brands are combined in an offer. Nike and Apple can be considered as a very good example of successful co-branding.*

Brand Piracy

- *It refers to the unauthorized use of a company's brand image, logo, or other trademarked items in order to deceive customers into believing that they are buying a legitimate product.*
- *It occurs when a product features a name or logo similar to another well-known brand or product.*

Forms of Brand Piracy

- **Imitation:** *it means copying a popular brand.*
- **Faking:** *it means copying a popular brand with minor unnoticeable differences. For example, a Seiko watch may be copied as Reiko watch.*
- *Adverse effects of brand piracy are: (a) Causes unfair competition for MNCs. (b) Loss of market share and profit. (c) Loss of consumer faith*

Packaging

- *It refers to the process of designing & producing the container for a product in order to protect it from damage during transport as well as to make it more attractive to customers.*

After-sales service

- *After-sales service refers to the support and assistance provided to customers after they have purchased a product.*
- *It is a form of customer service that is focused on addressing any issues or concerns that arise after a customer has made a purchase & aims to ensure that the customer is satisfied with the product.*